

**BEFORE THE FEDERAL MARITIME COMMISSION
WASHINGTON, D.C.**

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INTERNATIONAL LONGSHOREMAN’S	:	
ASSOCIATION,	:	
	:	
Complainant,	:	
	:	
v.	:	FMC Docket No.: 22-12
	:	
GATEWAY TERMINALS, LLC;	:	
CHARLESTON STEVEDORING COMPANY,	:	
LLC; PORTS AMERICA FLORIDA, INC.;	:	
CERES MARINE TERMINALS, INC.; AND	:	
SSA ATLANTIC, LLC,	:	
	:	
Respondents.	:	
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**RESPONDENTS’ MOTION TO BIFURCATE PROCEEDING
TO ADDRESS THRESHOLD JURISDICTIONAL CHALLENGE**

Respondents Gateway Terminals, LLC (“Gateway”), Charleston Stevedoring Company, LLC (“CSC”), Ports America Florida, Inc. (“PA”), Ceres Marine Terminals, Inc. (“Ceres”), and SSA Atlantic, LLC (“SSA”) respectfully move the Presiding Officer to bifurcate the instant proceeding into two phases: jurisdiction and merits. Specifically, Respondents request that the Presiding Officer first adjudicate whether the Commission possesses personal jurisdiction over any of the Respondents, and, if jurisdiction is found over at least one Respondent, proceed to the merits.

I. Introduction and Overview

Each of the Respondents has denied that that it is a “marine terminal operator” or “MTO” as defined at 46 U.S.C. § 40102(15), and thus that the Commission lacks personal jurisdiction over it.¹ This jurisdictional challenge is based in part on an August 6, 2019, legal opinion issued *sua*

¹ See Answer to the First Amended Verified Complaint, ¶10; Respondents’ Motion to Dismiss filed May 9, 2022.

sponte by the Commission’s General Counsel, who determined after an intensive review process that the Commission lacked jurisdiction over Respondents PA, Ceres, SSA, and by extension the joint venture arrangements that are the focus of this proceeding (*i.e.*, Respondents Gateway and CSC).²

The Commission has long recognized that it is “elementary law that a tribunal should determine its jurisdiction before addressing the merits of a controversy brought before it” particularly where, as here, “the tribunal has limited jurisdiction.”³

Accordingly, Respondents respectfully request that this proceeding before the Presiding Officer be split into two phases:

- First, limited discovery on the issue of personal jurisdiction, namely whether the Respondents are MTOs as defined under the Shipping Act, followed by adjudication of a dispositive motion limited to the issue of jurisdiction.
- Second, if jurisdiction is found over any of the Respondents, discovery on the merits of the Complainant’s claims that Respondents have engaged in unreasonable refusals to deal or subjected any person to undue or unreasonable prejudice, followed by adjudication of those claims.

II. Background

In our May 9, 2022, Motion to Dismiss, Respondents explained that, in 2019, Respondents PA, SSA and Ceres submitted to the Commission an agreement to form a joint venture, but were turned away on jurisdictional grounds. Specifically, on March 29, 2019, Respondents Ceres, SSA

² Attachment A to Respondents’ Motion to Dismiss filed May 9, 2022.

³ Most recently, see Docket No. 21-17, Order Denying Motion to Dismiss dated February 23, 2022, citing *Crowley Liner Serv., Inc. and Trailer Bridge, Inc. v. Puerto Rico Ports Auth.*, Docket No. 00-02, 29 S.R.R. 394, 396, 2001 FMC LEXIS 7 at *9 (ALJ Sept. 20, 2001) (citing *The Government of the Territory of Guam v. Sea-Land Serv., Inc.*, 28 S.R.R. 252, 265 (FMC 1998); *River Parishes Co. Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751, 762 (FMC 1999); *NPR, Inc. v. Board of Commissioners of the Port of New Orleans*, 28 S.R.R. 1512, 1519 (ALJ 2000)).

and PA filed a proposed agreement—FMC Agreement No. 201293, the “*Georgia – South Carolina Marine Terminal Operator Cooperative Working Agreement*.” While the Commission lacks jurisdiction over providers of stevedoring services, the parties noted that certain of their services (especially their role in gate operations controlling access to the terminal) might have brought them within the scope of the Shipping Act’s definition of MTO and therefore could have made their agreement subject to FMC filing under the Shipping Act. *See* 46 U.S.C § 40102(15) and 46 U.S.C § 40301(b).⁴ The Commission undertook a review process pursuant to § 40304(d), gathering information from the parties regarding their current and planned operations and market conditions pursuant to a Request for Additional Information dated May 9, 2019.

After extensive review, the Commission’s General Counsel issued an opinion letter on August 6, 2019, in which he concluded that “the Parties to the agreement do not appear to be marine terminal operators (MTOs) as defined by the Shipping Act of 1984.”⁵ The General Counsel reasoned that the parties did not exercise sufficient control over any terminal facilities to render them MTOs under the Shipping Act at either Port, because their primary activities consist of stevedoring services provided to the carriers, and the Commission does not consider stevedores to be MTOs under the Act.⁶ It was our understanding that the content of the opinion letter was based on direction provided by the Commission, although the letter’s text indicated that it was not binding on the Commission. In reliance on the General Counsel’s opinion and recommendations, Respondents SSA, PA and Ceres withdrew the proposed agreement, rather than have the agreement formally rejected. The Commission allowed the agreement to be withdrawn from review with no further inquiry or investigation. Accordingly, it is beyond dispute that it was the

⁴ *See* 46 U.S.C § 40102(15) and 46 U.S.C § 40301(b).

⁵ Attachment A to Respondents’ Motion to Dismiss filed May 9, 2022.

⁶ *See id.* (citing Exemption of Certain Marine Terminal Arrangements, 57 Fed. Reg. 4578, 4581 n.16 (Feb. 6, 1992) (final rule)).

position of the agency as a whole in 2019 that it lacked jurisdiction over Respondents and their agreement at that time.

In her June 23, 2022, Order, Chief Administrative Law Judge Wirth denied Respondents' Motion to Dismiss, holding that the allegations in the Amended Complaint were adequate to survive the Motion to Dismiss. With regard to jurisdiction, she indicated: "Whether there is merit to Complainant's allegation that Respondents are [MTOs] is a determination that may become clearer after evidence is obtained from discovery."

Clearly, there is a pivotal threshold issue as to whether Respondents are subject to FMC jurisdiction (including the agency's authority to order party discovery on the merits of alleged Shipping Act violations) at all. As a result, an effort to require Respondents to move ahead with burdensome and potentially unnecessary merits discovery now – before any legal basis has been established for the agency reversing course and asserting jurisdiction over the parties – would be unfair, arbitrary, capricious, and beyond the scope of the agency's authority.⁷ *See Lone Mountain Processing, Inc. v. Sec'y of Labor*, 709 F.3d 1161, 1164 (D.C. Cir. 2013) ("[A]n agency changing its course must supply a reasoned analysis indicating that prior policies and standards are being deliberately changed, not casually ignored." (*quoting Greater Boston Television Corp. v. FCC*, 444 F.2d 841, 852 (D.C. Cir. 1970))).

⁷ The potential challenges posed by discovery on the merits are apparent already from Complainant's excessively broad and burdensome First Request for Production of Documents. The ILA seeks all documents, communications, or correspondence for the past five years concerning, among other things, any contracts with the ports, all vessel berthing and scheduling, gate operations and fees, facility charges, vendor rates and charges, equipment maintenance and repair, office and warehouse space, customer rates and charges, and the "comparative share" of cargo volumes at all U.S. East Coast and Gulf ports. Complainant also seeks a trove of documents squarely focused on collective bargaining, even though labor agreements are statutorily excluded from the FMC's regulatory authority. These include requests for all documents related to the parties' labor agreements, terms and conditions of employment, payment of wages and benefits, work hours and shifts, hiring and discipline, grievances, staffing of work gangs and work teams, and assignment of jobs and training, as well as any other matter that affects ILA-represented employees. This plainly signals an effort to repurpose the Commission as labor negotiations regulator, despite the express prohibition in the Shipping Act and the decades of policy and precedent.

III. Relevant Law Regarding Treatment of Threshold Jurisdictional Issues

Complainants in FMC proceedings bear the burden of demonstrating that the Commission possesses jurisdiction to adjudicate their claims.⁸

Moreover, disputes over jurisdiction must be addressed as a threshold matter, as the Commission explained in *River Parishes Co. Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751 (1999). In that case, the respondent, Ormet, advanced an affirmative defense that the Commission lacked jurisdiction, arguing that it was not an MTO. As a result, the administrative law judge authorized discovery to determine whether Ormet provided marine terminal facilities in connection with common carriers. The Commission explained that, except in two limited circumstances, jurisdictional issues must be resolved at the outset of a case:

The parties conducted discovery on the issue of jurisdiction and extensive evidence was submitted before the ALJ. As the ALJ correctly held, an agency must reach jurisdictional issues before addressing the merits of a case. [*Government of the Territory of Guam v. Sea-Land Serv., Inc.*, 28 S.R.R. 252, 265 (1998)(“*GovGuam*”)]; see also *Osborn v. United States*, 918 F.2d 724 (8th Cir. 1990). There are two exceptions to this rule: (1) where a determination on the merits is essential to the determination of jurisdiction because their analyses are intertwined; and (2) where the merits are so straightforward that the better use of administrative resources warrants a disposition on the merits without a finding of jurisdiction. 12 *GovGuam*, 28 S.R.R. at 263-64. However, it is well established that once a jurisdictional question is raised and evidence is submitted, a court or agency “must decide the jurisdictional issue, not simply rule that there is or is not enough evidence” to decide the issue. *Osborn*, 918 F.2d at 730; see also *Barnett v. Brown*, 83 F.3d 1380, 1383 (Fed. Cir. 1996). In such a situation only the first exception (intertwined facts) would enable the adjudicatory body to proceed directly to the merits. *Osborn*, 918 F.2d at 730.

Neither of the two exceptions noted by the Commission apply in the instant proceeding. The issue of whether Respondents’ operations in Charleston or Savannah rise to the level of MTO

⁸ *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, 1 F.M.C.2d403, 406, 2019 FMC LEXIS 44 at *10 (FMC July 16, 2019) (citing *River Parishes Co., Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 188, 201 (ALJ 1998), *aff’d* 28 S.R.R. 751 (FMC 1999)).

status does not fall into the two exceptional circumstances outline in *Ormet*. Jurisdictional issues are not “intertwined” with Complainant’s allegations that Respondents have unreasonably subjected some parties to unreasonable prejudice or refusals to deal. Nor are the merits especially “straightforward.” As discussed at length in Respondents’ motions to dismiss, Complainant has not tethered its allegations of unreasonable discrimination or refusals to deal to specific parties or transactions. Accordingly, the discovery, fact-finding, and analysis of Complainant’s claims is likely to involve novel and complex issues. In addition, Respondents continue to maintain that FMC oversight and regulation of employer-union collective bargaining activity is expressly foreclosed by statute.⁹

IV. Proposed Discovery Process

Bifurcation of the proceedings may avoid the need for the parties and the agency to devote significant resources to discovery and adjudication of the facts and law underlying Complainant’s claims, because there is a significant possibility (based upon the General Counsel’s determination in 2019 and the authorities cited therein) that Commission lacks jurisdiction over Respondents.

As the caselaw above demonstrates, this looming jurisdictional uncertainty must be addressed and resolved as a threshold matter. Respondents thus propose that the parties conduct a prompt round of discovery on the issue of whether any of the Respondents is an MTO in the terminals at issue in this proceeding; that is, are they “engaged in the United States in the business of providing wharfage, dock, warehouse, or other terminal facilities in connection with a common

⁹ See 46 USC § 40301(d), which provides that the Shipping Act does not extend to maritime labor agreements (either collective bargaining agreements themselves or agreements among employers relating to collective bargaining).

carrier” in the container terminals in the Ports of Savannah, Georgia and Charleston, South Carolina.¹⁰

Presumably that discovery would include (subject to an appropriate protective order) Respondents’ submissions to the FMC in support of their 2019 agreement filing. Indeed, Respondents are preparing that initial round of production now. Jurisdictional discovery may also include deposition testimony or other evidence from Respondents’ personnel with direct knowledge of each Respondent’s operations and activities in or relating to the terminals in question. Such personnel were identified in initial disclosures, and those depositions could take place quickly. The parties also may wish to obtain third-party discovery from the relevant port authorities or other parties as to whether Respondents are providing wharfage, dock, warehouse, or other terminal facilities.

At the conclusion of this initial round of discovery, Respondents anticipate submitting a narrowly-tailored motion for summary judgment based on a lack of personal jurisdiction. Complainant would then be required to carry its burden of demonstrating that the agency possesses jurisdiction over some or all of the Respondents, relying on evidence developed in the discovery process.

If some or all Respondents ultimately are adjudged to be marine terminal operators, the parties would then engage in a full discovery process on the merits of Complainant’s allegations, and thereafter move on to post-discovery dispositive motions or a hearing on the merits.

¹⁰ It is well-settled that the analysis of whether a party is an MTO is facility-specific, meaning that the Commission considers the party’s activities at the facilities involved in the dispute, not all facilities in a port or region generally. See *Auction Block Co. v. City of Homer*, 33 S.R.R. 589, 593 (FMC 2014), *aff’d Auction Block v. FMC*, 606 Fed. Appx. 347, 348 (9th Cir. 2015).

V. Conclusion

The agency made a determination to decline jurisdiction over Respondents and their joint ventures in 2019. Requiring Respondents to engage in merits discovery now – before any basis has been established for the agency reversing course and asserting jurisdiction over the parties – would be premature, unfair, and inconsistent with agency precedent. Any effort to compel merits discovery absent a reasoned jurisdictional foundation would be arbitrary, capricious, and presumptively beyond the scope of the agency’s authority. As a result, bifurcation of this proceeding to address the threshold jurisdictional challenge is the most appropriate and practicable way to proceed.¹¹

¹¹ As noted in our Status Report, the undersigned presented the bifurcation proposal described in this motion to counsel for Complainant. The parties had discussions on the issue, however, no consensus was reached on the issue of bifurcation, and the parties “agreed to disagree.”

Accordingly, based on the foregoing factors, Respondents respectfully request that the Presiding Officer bifurcate the jurisdictional and merits phases of the instant proceeding, and issue a procedural order directing the parties to produce an agreed discovery and briefing schedule addressing the limited issue of personal jurisdiction as described above.

Dated: January 23, 2023

Respectfully submitted,



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CERTIFICATE OF SERVICE

I hereby certify that the foregoing pleading was provided to Complainant's counsel of record by email on this 23rd day of January 2023.

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